# INTER & CO INC INTR

August 17, 2026 - 6:13pm EST
by miser861

| | | | 2026 | 2027 |
|---|---|---|---|---|
| Price: | 5.23 | EPS | .75 | .98 |
| Shares Out. (in M): | 448 | P/E | 7 | 5.5 |
| Market Cap (in $M): | 2,340 | P/FCF | N/A | N/A |
| Net Debt (in $M): | 0 | EBIT | 428 | 597 |
| TEV (in $M): | 2,340 | TEV/EBIT | 5.5 | 4 |

## Description

INTR is a Brazilian digital bank and "Financial Super App" with a 16.1% ROE trading at 1.4x tangible book and 7.9x P/E that grew net revenue by 32% YoY.

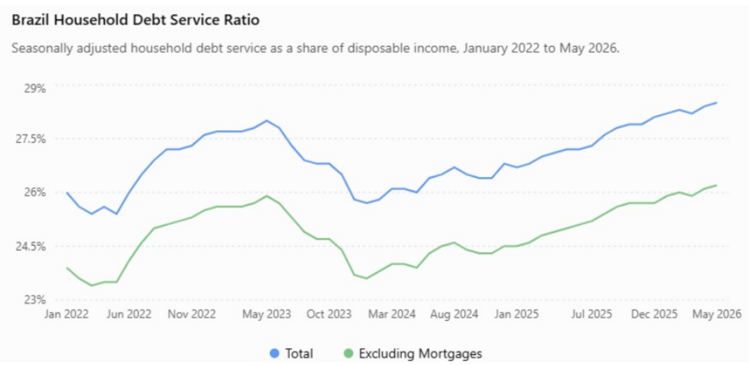
Unlike many other popular Brazilian neobanks, INTR's loan book skews heavily (2/3) towards collateralized loans.

The loan book can be broken down as follows:

- 35% real estate (mortgage & home equity)
- 31% credit card
- 25% personal (private payroll loans, FGTS loans - essentially 401k loans, etc.)
- 9% SMB + agribusiness

A fraction of the personal loans & virtually all of the credit card loans are unsecured. Everything else is collateralized. They are steadily gaining share from traditional banks in most of these verticals.

The high collateralized loan mix is key, as Brazilian consumers today are highly leveraged per Banco Central Do Brasil statistics published here.

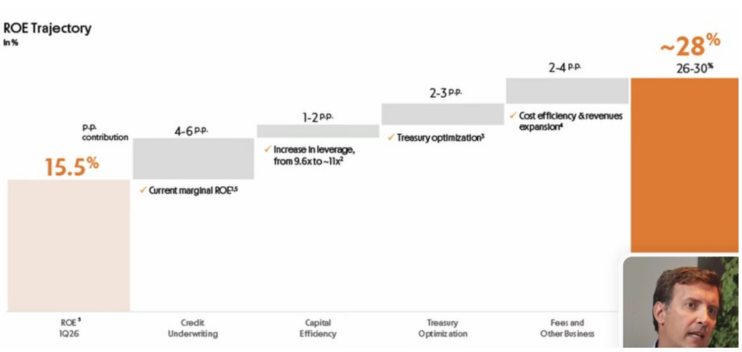



Also unlike many other digital banks, INTR's average consumer skews towards a young but middle-to-slightly-upper-income consumer. This consumer is more likely to have a formal job (helpful, as informal income decreased more during Brazilian economic downturns) and be moderately less leveraged all-in.

**Growth**

INTR has a path to grow revenue at a ~mid 20s%+/yr clip over the next few years (higher if you believe their guidance). When setting budgets before the start of the new fiscal year, they, as of recent, aim to grow OpEx by a rate that is <1/2x revenue growth. This multiple frequently creeps up to ~2/3x as they find other reinvestment initiatives. For instance, this year they continue to invest hand-over-fist in their credit model, build out their credit card support team, invest in R&D related to the later mentioned private payroll re-linkage issues, and so on.

They are guiding to 26-30% ROE by '29E. The screenshot below, which can also be found in their May '26 Owner's Day slide deck, is from an IR chat with their SVP of Finance - aka Global CFO, who is very focused on their expansion outside of Brazil, while their Local CFO drives cost discipline at home.




On the increase in leverage - it seems unlikely that they'll get materially more aggressive here over the next year given investor concerns about the credit cycle. That said, their ambitions seem to be to increase leverage to >11x over the long-term. See this thread here from May written by another INTR investor with very bullish assumptions for more detail of this ROE bridge & the opportunity.

**Discount Vs. Peers**

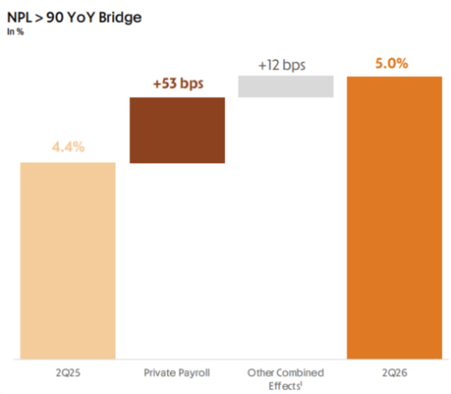
A big driver of INTR's discount vs. peers is a widespread concern about corporate governance. INTR Founder Rubens Menin, a Brazilian billionaire, is the Chair of the Board and has voting control of the company. His son, Joao, is the Global CEO. INTR discloses that it provides loans to related parties. The loans to these Menin family companies, also publicly listed and with no med-term liquidity risks, MRVE3 and LOGG3, are at reasonable terms, as is disclosed by their local filings and confirmed by former employees with whom we spoke who worked in accounting.

They have consistently been audited by KPMG which gave them a clean opinion in Apr '26 following the remediation of a material weakness around IT access controls. In the years following up to this one, they cleaned up a litany of issues identified by KPMG.

All of that said, the family controlling voting stake (and lack of & related party disclosure certainly warrants some discount, especially given the fact that the super-voting share rights do not expire in the event of Rubens' passing (ie, there is no forced conversion from Class B to Class A) as well as the fact that Joao is likely to preside over the company for many years to come.

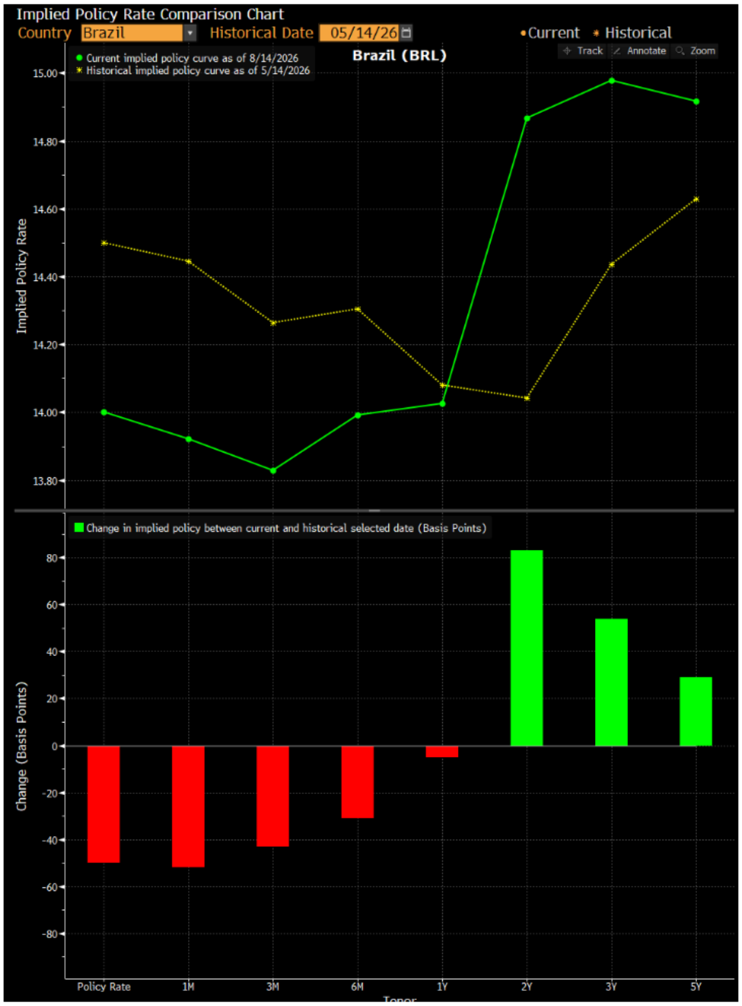
**Recent Underperformance**

INTR is down ~50% from its all time highs of 6-7 month ago. Part of this is due to the Brazilian consumer leverage issue, discussed above. Investor concerns about this have very much exacerbated by an uptick in NPLs. Said increase is largely, albeit not completely, driven by Private Payroll, a new-ish foray for INTR.




These Private Payroll loans, in theory, are supposed to be automatically deducted from employees' payrolls via Dataprev, a system created by the Brazilian Federal Government. Inter claims that this system has had issues with employee re-linkage - ie, when people switch jobs, the system does not consistently automatically switch to making deductions from their paychecks from their new jobs. Inter is working on its own re-linkage solution to work around this and has signalled that it anticipates getting effective private payroll cost of risk (quite high today at 15% & likely to remain elevated this quarter) to single digits by mid '27. Given that the marginal ROE of Private Payroll is 30%, we're content to give them a bit of rope here.

Brazil benchmark interest rate (SELIC) outlook is less-than-inspiring and has worsened over the past few months, largely a function of Lula's (President of Brazil - a socialist) re-elections odds increasing. In the event of a Lula re-election, which seems ~70% likely (slightly above current betting market odds), the below seems quite plausible. This would be a marginal headwind for INTR, as they would benefit more from lower cost of funding, lower cost of risk, more loan growth etc. in a lower SELIC environment than they would be harmed by other factors. It simply makes their Investor Day guidance more realistic in, perhaps, an 80th percentile outcome rather than a 50th percentile outcome.




**Valuation**

This feels like a name that may remain perpetually cheaper than "fair" given the controlling shareholder. That said, slapping an 8-10x P/E multiple a few years out on a Brazilian neobank with a (perhaps rocky) path from 16% ROE to ~24% ROE (if we don't give full credit for the lofty ROE goals given high SELIC expectations and their past cut of long-term targets) & an at least partially explainable NPL issue seems prudent. One can get to far above market returns depending on loan growth assumptions.

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## Catalyst

Compounding EPS
Rapid dividend growth

## Messages

No messages